TRANSFORMER MANUFACTURING ASSOCIATION OF AMERICA

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Via email: [redacted]
AI Action Plan
Attn: Faisal D'Souza, NCO
2415 Eisenhower Avenue,
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RE: Comments of the Transformer Manufacturing Association of America to the AI Action Plan

Please accept these comments submitted on behalf of the members of the Transformer Manufacturing Association of America ("TMAA").[1] The TMAA is a trade organization representing the interests of the domestic transformer manufacturing sector and its customers. Our members employ 40,000 American workers in numerous facilities across the country. Our domestically built transformers provide safe and reliable delivery of electricity to virtually every customer in the country, serve as the heartbeat of America's electric grid and are a critical component needed for electric energy security. Transformers ensure that voltage levels are adjusted to safely and efficiently deliver power across residential, commercial, industrial, and government sectors.

The TMAA endorses the concepts captured in President Trump's January 23, 2025 Executive Order 14179 entitled *Removing Barriers to American Leadership in Artificial Intelligence* (the "Order"). We encourage the Administration in its goal to solidify American leadership in the development of AI and the necessary AI facilities within the country to meet the needs of our utility and data center customers.

The development of AI and the related AI facilities presents some serious logistical problems that will need to be considered. Some commentators may raise the issue of the costs associated with the AI infrastructure. No doubt, the price tag associated with the build out of AI and its related AI facilities will be substantial.

The TMAA suggests that the true cost of AI lies not in its coding but in its kilowatts. These facilities will require substantial volumes of firm, reliable electricity to power the systems. At present, the country lacks the electrical generation and transmission infrastructure needed to meet the goals of the Order. It is not possible at present to meet the electricity load without a massive influx of electricity and related transmission equipment, including transformers. In turn, the increased need for transformers requires the ability for the domestic transformer manufacturers to secure the necessary supply chain components to expand their production capacity.

At the same time as the increased expansion of AI facilities increases the demand for transformers, so too do other market forces such as the need to replace aging infrastructure and the return of U.S. manufacturing. TMAA members are facing a range of supply chain delays that impede their ability to meet customer demand. In recent years, the lead time for the delivery of all sizes of transformers has increased significantly, with the lead time for medium and large power transformers that will serve these

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[1] These comments are prepared and submitted by the TMAA as an entity and should not be imputed on any individual member.

data and AI centers now exceeding three years. Supply chain inputs for key components are a main reason for the significant increase in lead times.

To meet this demand, the members of the TMAA have announced more than $600 million in capital project investments to expand their domestic transformer production capacity, with more projects coming in the near future. The same supply chain delays impacting current production lead times will be enhanced and expanded with the increased capacity expected to come online in the next couple of years – threatening stranded costs and capacity due to the lack of supply for key components.

Key inputs, particularly grain-oriented electrical steel (GOES) and copper, have traditionally been sourced from stable foreign suppliers due to limited domestic production capacity. As an example, there is only one domestic producer of GOES in North America. Ideally, the TMAA members would have multiple domestic options from which to source the GOES, but the fact that there is only one supplier is in itself a risk to national security. That producer is at its full capacity and unable to produce more GOES without substantial investments in its mill, which it has thus far refused to undertake. At current levels, it cannot meet even half of the demand for GOES in North America, much less the substantially higher anticipated demand for the transformers needed to serve the AI and data center customers. In addition, the domestic producer does not have the capacity to produce GOES in the size or efficiency levels needed for modern, efficient large power transformers – the type of transformer most likely needed to serve AI facilities. Due to these facts, TMAA member companies cannot procure GOES in the sizes or volumes they need from any domestic source and are forced into the international markets to source GOES.

Ensuring that domestic transformer manufacturers continue to have access to GOES, copper and other critical component parts is vital to our nation's national security – and to ensure the ability to supply power to the AI facilities the President desires under the Order. Unfortunately, despite the lack of domestic GOES options, the imported rolled GOES is now subject to tariffs that will further disrupt established supply chains, raise transformer prices for utilities, and further exacerbate long lead times for the delivery of transformers. Should those same tariffs be applied to GOES and copper derivative products imported into the US for incorporation into domestically built transformers, the impact will cripple the ability to meet the goals of the President's AI and reshoring of manufacturing initiatives.

TMAA stands ready to help meet the electricity needs of the nation and the goals of the Order, but the unforeseen and unintended consequence of the GOES tariffs threaten our ability to meet the expanded demand. TMAA encourages reconsideration of the tariffs on these critical components so vital to protecting our electric grid and national security. We need the Administration's help in ensuring stable, reliable, and cost-effective supply chains, particularly for GOES and copper.

The members of the TMAA look forward to coordinating with the Administration in developing the AI Action Plan and providing input on strategies to meet the electricity demand for AI facilities, data centers and the resurgent manufacturing base that will return to the United States under this Administration. This will require policies that ensure a stable, reliable and cost-effective supply chain, particularly for GOES and copper.

Respectfully submitted,

Joseph E. Donovan
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